TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Australian Financial Review (James Eyers)
5 November 2026

ACCC steps in to set prices for Armaguard's cash transport

> Armaguard and its biggest customers couldn't agree on how to fund cash distribution. The competition regulator has used new powers for the first time to set interim prices for a near-monopoly.

WHAT HAPPENED

- The Cash Distribution Framework Act, passed in August, lets the ACCC regulate Armaguard. The firm is a near-monopoly cash carrier controlled by Lindsay Fox.
- Talks with its eight biggest customers, including the big banks, Coles, Woolworths, Wesfarmers and Australia Post, broke down.
- Armaguard says it lost $207m on its contracts with the big banks since 2021. The ACCC rejected its 'cost-plus' pricing proposal because its costs weren't transparent.
- The eight biggest customers will pay their 30 June contract prices plus 29.55% above CPI until June next year. Smaller customers pay 10% above CPI or just CPI.
- Armaguard must keep supplying services and must not favour its own ATM business over rivals.

29.55%
Increase above CPI for the 8 largest customers, until June 2027

$207m
Losses Armaguard says it made on big-bank contracts since 2021

$100m
Extra funding banks and retailers have already contributed

Natural monopoly: a market where one firm can supply at lower cost than several competitors

Price regulation: a regulator setting or capping prices where competition can't

FLOW CHART

Why regulators set prices for a natural monopoly

Cash use falls, so fixed costs are spread over fewer deliveries → One carrier left (near-monopoly) → Price disputes threaten supply → ACCC sets interim prices → **Essential service kept running while a long-term model is built**

Exam angle: Price regulation must balance **viability** (a price too low means the firm exits) against **monopoly pricing** (a price too high hurts customers). Mention **information asymmetry**: the ACCC couldn't verify Armaguard's costs.

SYLLABUS LINK

Topic 4 – Competition policy and the role of the ACCC; microeconomic policy for markets with limited competition.

TRY THIS

1. Explain why cash distribution may be a natural monopoly. **(3 marks)**
2. Discuss the challenges a regulator faces when setting prices for a monopoly. **(5 marks)**

Read more: AFR – ACCC forced to intervene after big banks, Armaguard relations unravel (5 Nov 2026)

Summary written in our own words for classroom use